

Margins Up, Volumes Down: The Second-Half Split Screen

From the desk: Earnings season delivered the split-screen we expected. MarineMax posted a Q3 revenue miss and a record 35.7% gross margin, up 530 basis points, while confirming Blackstone, Donerail, and Centerbridge as its three final-round bidders. Brunswick beat on the top line, raised full-year guidance to \$4.35–\$4.75 in earnings per share on tariff refunds and mix, and now sits on \$278M of second-quarter free cash flow. OneWater hit its below-four-times leverage target a quarter early on a 4% revenue decline.

The dealer channel is smaller, more premium, and dramatically more profitable — the volume tourists have left. Meanwhile the Mediterranean charter market is off 20–30% and The Italian Sea Group has filed for court-supervised insolvency, drawing a Sanlorenzo-backed consortium bid. Below: what the earnings tape and the Monaco run-up mean for your fourth-quarter book.

FEATURED STORY

Three bidders, one endgame

The MarineMax auction enters its final round

On 24 July, [Reuters reported](#) that **Blackstone, Donerail, and Centerbridge Partners** have advanced to the third and final round of bidding for MarineMax (NYSE: HZO), with Donerail's raised all-cash offer of roughly \$35 per share now benchmarking the process. Shares jumped 6.5% on the report to close near \$36.41 ([Tampa Bay Business Journal via ITA Yachts Canada](#)). Blackstone's interest reads through directly from its 2025 **\$5.65B Safe Harbor acquisition**: MarineMax's IGY Marinas and 65 owned marina and storage locations are the strategic prize ([SuperYacht Times](#)).

The 23 July third-quarter print made the case for a premium. Revenue of **\$611.3M missed consensus by roughly \$71M**, but gross margin expanded **530 basis points to a record 35.7%**, adjusted EBITDA jumped **44% to \$51.3M**, and adjusted earnings per share surged to **\$0.81 from \$0.05** ([Yahoo Finance](#)). Management reaffirmed full-year adjusted EBITDA of **\$110–125M** and adjusted earnings per share of **\$0.40–\$0.95**, and disclosed that acquisitions since 2019 have added **\$700M of high-margin revenue** across brokerage, finance and insurance, marinas, superyachts, and parts and service ([Quartr](#)). Inventory is down \$118M year on year to \$788.6M; cash stands at \$174.8M ([TradingView, on the 8-K](#)). Bidders are buying a cleaner balance sheet, a higher-margin business mix, and a marina platform that behaves like a moat.

Marina and storage assets — not new-boat throughput — are what the final-round bidders are underwriting.

The read for dealers and brokers

Whoever wins, the model is validated: dealer economics survive a down cycle only if brokerage, service, marinas, and superyachts carry the profit and loss statement while new-boat volumes correct. Every MarineMax competitor now has to answer the same question in its own board deck — what is your non-new-boat gross-profit share, and where can it be next year?

Meanwhile, at the builder tier, **The Italian Sea Group has filed for court-supervised insolvency**, and a Sanlorenzo-led consortium operating as Polo Nautico Carrara has submitted a debt-free, going-concern bid for the Admiral, Tecnomar, and Perini Navi brands, with Azimut-Benetti also circling select assets ([Reuters](#)). The consolidation wave has crossed from dealer to builder.

Key takeaway

The Q2/Q3 earnings tape validates a two-track model: volumes down — MarineMax same-store sales –7%, OneWater –4%, industry retail –7.1% on a rolling twelve-month basis — but margins and cash flow up. That gap only widens for dealers heavy in brokerage, finance and insurance, marinas, and service. Independent operators still running a 2022-era new-boat-first model will find both financing and exit valuations increasingly hostile as the MarineMax comparable lands in the fourth quarter.

By the numbers

UNITED STATES

- **MarineMax Q3 revenue** \$611.3M · -7% (Yahoo Finance on MarineMax)
- **MarineMax Q3 gross margin** 35.7% · +530 bps (Yahoo Finance on MarineMax)
- **Brunswick Q2 net sales** \$1.558B · +8% (Investing.com on Brunswick)
- **Brunswick Q2 adjusted EPS** \$1.56 · +34% (Investing.com on Brunswick)
- **OneWater Q3 revenue** \$530.7M · -4% (MarketBeat on OneWater)
- **OneWater adjusted net leverage** 3.7× (MarketBeat on OneWater)
- **US new powerboat retail, rolling 12 months** -7.1% (Marine Business World on association data)
- **US recreational marine spending, 2025** \$54B (Boating Industry Canada on NMMA spending)

UNITED STATES RISKS

Florida brokerage inventory stood at 4,316 active listings on 24 July, with a median asking price of \$349,995; the 100-foot-and-above segment carried a \$7.4M median and roughly \$61,600 per foot ([Florida Yacht Market](#)). Hurricane season is now in its peak window as the MarineMax sale decision approaches, and the consensus exit multiple resets industry-wide when that deal announces.

GLOBAL

- **Pre-owned yachts over 24m on market, 1 July** 2,157 (365 Yachts Market Intelligence)
- **Combined asking value** ~\$18.8B (365 Yachts Market Intelligence)
- **Edmiston H1 superyacht sales, by units** -13% (Edmiston's Q2 market update)
- **Edmiston H1 superyacht sales, by value** -7% (Edmiston's Q2 market update)
- **Mediterranean charter rates, year on year** -20 to -30% (CNBC on Mediterranean charter)
- **Charter booking lead time** 118 → 83 days (Lisbon by Boat on booking windows)
- **Monaco Yacht Show, 23-26 Sept** ~120 yachts (Boat International on the Monaco show)
- **US federal funds target, end July** 3.50-3.75% (Federal Reserve FOMC statement, 29 July 2026)

GLOBAL RISKS

EU27 diesel reached €1.929 per litre on 16 July, up about 18% against the February baseline ([Logifie](#)), and marine gasoil in the Amsterdam-Rotterdam-Antwerp hub is up 73.5% since February on tight supply ([Argus Media](#)). Strait of Hormuz war-risk premiums are running at 5-10% of hull value ([S&P Global](#)), the London Joint War Committee widened its Red Sea high-risk zone on 29 July ([Reuters](#)), and Bab el-Mandeb premiums have doubled to above 1% ([Reuters](#)).

THREE ACTION STEPS

What to do this quarter

1**Run the MarineMax playbook on your own P&L before year-end.**

MarineMax did not beat because boats sold — same-store sales were down 7%. It beat because brokerage, finance and insurance, marinas, superyachts, and parts and service now carry the gross profit. Break out your last-twelve-month gross profit by revenue line and mark the non-new-boat share. If it is below 40%, you are running a 2022 business model in a 2026 market. Set a written fiscal 2027 target — the multiple your business is worth in a sale conversation will move with that ratio far more than with unit volume.

2**Move charter cross-currency exposure to the front of the risk register.**

With EU diesel back at €1.93 a litre and marine gasoil up 73.5% since February, a Mediterranean charter contract priced in euros against a dollar-denominated cost book — provisioning, US-based crew payroll, delivery voyage fuel — is now materially different from what your advance provisioning allowance assumed in April. Requote every August to October Mediterranean charter with a fresh fuel assumption, a currency buffer of 300–500 basis points, and an explicit clause for Red Sea and Hormuz war-risk surcharge pass-through. Owners will accept honest math; they will not accept surprise overruns.

3**Book Monaco with a builder-services agenda, not a boat-shopping agenda.**

The Monaco Yacht Show runs 23–26 September, with roughly 120 yachts and 43 new deliveries expected — but the real story on the pontoons will be builder distress. With The Italian Sea Group in insolvency proceedings and a Sanlorenzo-led consortium bidding, refit, warranty, and completion questions will drive more meaningful conversations than new orders. Come with a list: which builders have open orders on which of your clients' hulls, which yards carry credible completion risk, and which service providers you can extend a preferred-vendor relationship to before demand snaps back. The best Monaco value this year is in the yards, not the demo boats.

INDUSTRY PLAYER PROFILE**Brunswick Corporation (NYSE: BC)**

The propulsion, parts, and Freedom Boat Club engine that keeps printing through the volume trough.

Headquartered in Mettawa, Illinois, Brunswick (NYSE: BC) is the world's largest marine-recreation manufacturer — Mercury Marine propulsion, Boston Whaler, Sea Ray, Bayliner, Lund, and Harris boats, Navico Group electronics, plus the Freedom Boat Club shared-access platform. On 30 July the company reported second-quarter net sales of **\$1.558B, up 8%**, adjusted operating earnings of \$150.1M, up 19%, adjusted earnings per share of **\$1.56, up 34%**, and quarterly free cash flow of \$278M at better than 250% conversion ([Investing.com](https://www.investing.com)). All four segments grew year on year for the fourth consecutive quarter: Propulsion \$644M (+8%), Engine Parts and Accessories \$367.9M (+9%) at a 23.3% operating margin, Navico \$215.8M (+7%), and Boat \$424.4M (+5%) ([Stock Titan, on the 8-K](#)).

Why it matters now

Brunswick raised its full-year guide to **\$5.7–5.8B in revenue, roughly 8% operating margin, \$4.35–\$4.75 in adjusted earnings per share, and more than \$400M of free cash flow** ([Brunswick investor relations](#)). Roughly \$0.30 of the raise reflects Phase 2 tariff refunds — a \$30.4M cost-of-sales credit plus a \$24.6M state tax benefit — and the other \$0.20 is operational. Freedom Boat Club reached its **450th location** in June, converting new-boat volume softness into recurring membership economics. Brunswick is a real-time barometer of the marine channel: parts and accessories signal what fleets are actually running, propulsion signals original-equipment confidence, and Freedom signals what happens to would-be first-time buyers when new-boat affordability breaks.

Watch for

A third-quarter guide of \$1.4–1.5B in revenue and \$1.20–\$1.40 in adjusted earnings per share, about a 15% top-line step-down against the second quarter and in line with normal seasonality; the trajectory of Navico's autonomy and lower-cost sensor stack; and whether Freedom Boat Club's international footprint, now well over 100 non-US clubs, keeps outpacing its US comparables.

VOICES FROM THE FIELD

Reader submissions

This section runs reader-submitted outlooks from brokers, dealers, builders, captains, and supply-chain partners. Second-quarter earnings from MarineMax, Brunswick, and OneWater confirmed the two-track market — record margins on shrinking volumes — but the on-the-water colour is where the next-quarter shift usually shows up first.

Send us what you are seeing on the Monaco run-in, on used inventory absorption, on charter reprice negotiations, and on refit-yard capacity. One quote per issue gets the lead position, and we run through October.

— The Helm & Horizon editors

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